



Flexible Benefit Plan (FBP) FY 2025-26



Flexible Benefit Plan (FBP)

Flexible Benefit Plan is an exclusive bundle of offerings extended by PeopleStrong for the benefits of tax saving purpose which our team members can avail in a financial year.



Applicability: Team members may opt for these benefits as part of their compensation disbursement and enjoy the attached tax benefits. The amount defined under FBP is part of the CTC structure and the applicability may vary based on the organization's policy.



Process: New employees must share their FBP option form within 3 days of joining the organization.

Existing employees must fill the FBP Planner (declaration form) on HRMS Portal.



Leave Travel
Allowance



Professional
Development
Allowance



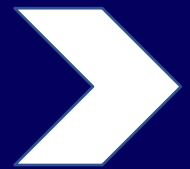
Meal Card



Children Education
Allowance



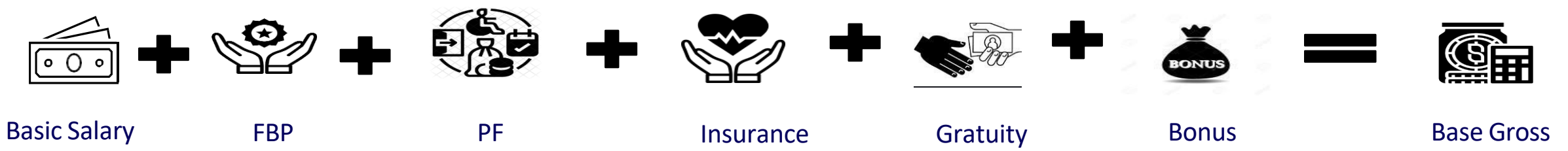
House Rent
Allowance



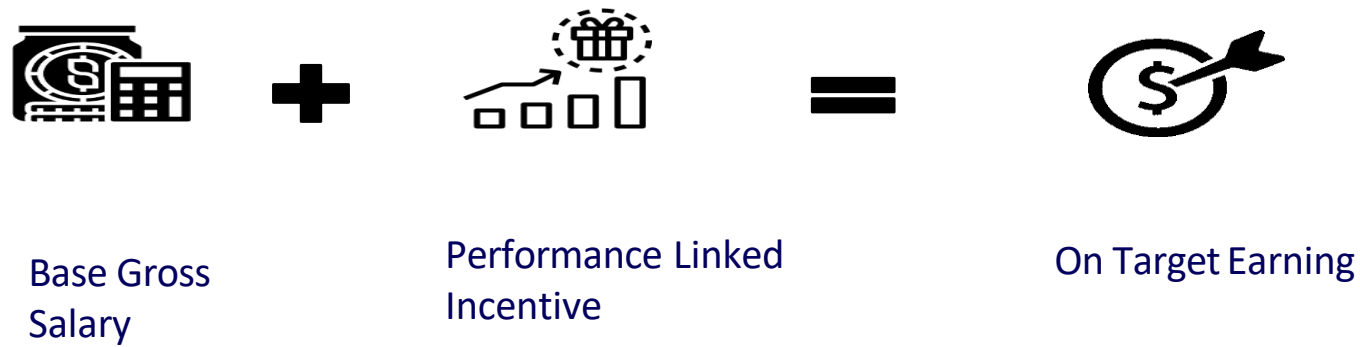
Understanding the salary structure

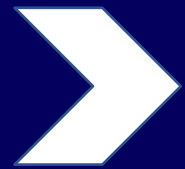


Overall Compensation Structure



Base Gross + Performance Incentive





Understanding the FBP components



Components Of FBP



Leave Travel Allowance

Maximum two month's basic salary



Children Education Allowance

Maximum INR 1200 per child per annum if school going and INR 3600 per child per annum if in hostel



Meal Card

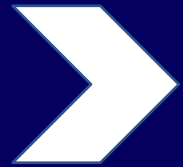
Maximum INR 36,000 based on opted denomination (INR 12,000, 24,000 & 36,000 per annum)



Professional Development Allowance

Maximum two month's basic salary





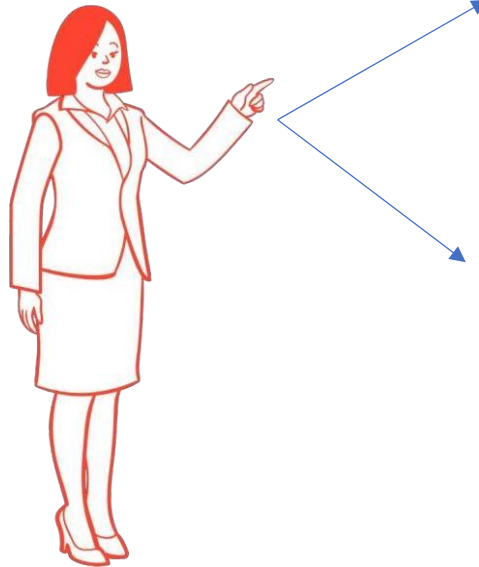
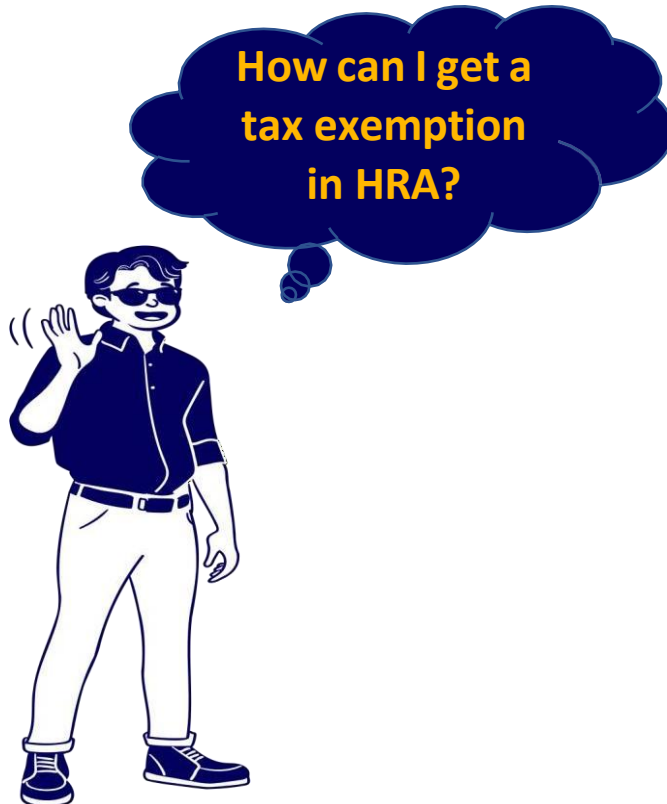
Understanding the calculation and eligibility for FBP components



House Rent Allowance (HRA)

Definition:

House Rent Allowance (HRA) is a part of your salary provided by the employer for the expenses incurred towards rented accommodation



Conditions:

The tax exemption of HRA will be available up to the least of the following three criteria:

- Actual house rent allowance
- Actual house rent paid minus 10% of basic
- 50% of basic for metro city (employee base location)
and 40% of basic for non-metro city

If the rent amount is more than INR 8,333/- per month (INR 1,00,000/- per year) and it is mandatory to share the permanent account number (PAN) of the landlord while declaring investment and submitting the proofs.

Rent Agreement would be required if the Rent is over & above the amount of INR 15,000 per month.

Illustration For Calculating HRA

Examples for calculation of exemption/deduction of HRA:

You received following amount during the previous year.

- Basic Salary – INR (50000*12) –INR 600,000/-
- House Rent Allowance (H.R.A.) – INR (30000*12) – INR 360000/-
- Actual Rent Paid –INR (20000*12) – INR 240000/-

Calculation:

The minimum of the following amount shall be exempted

Actual HRA received INR (30000*12) = INR 360000/-

Rent Paid in excess of 10% of salary INR (240000-60000) = INR 180000 40% of Salary
=INR 240000/-

Therefore, INR 180000 shall be exempt, and the balance INR 180000 shall be included in taxable salary.

Note: HRA is by default one of the salary components. If employee submit all the relevant documents, the HRA amount will be tax exempted.



Leave Travel Allowance (LTA)

Definition:

Leave Travel Allowance (LTA) is a type of allowance given to the employee by employers for travel. It covers within-country travel costs when they are on leave from work.

Eligibility:

- As per the Income Tax Act 1961, employees can claim the LTA benefit only twice during the block of 4 years. (The current block is 2022-25)
- Any employee who has not taken LTA exemption in the last block of 2018-21 can avail of one extra exemption in the 2022-25 block, i.e., they can claim LTA 3 times in this block.



Leave Travel Allowance (LTA) Conditions

LTA Claim Coverage :

- The entire cost of the holiday is not covered. Only the travel costs are covered. So, whether it is travel by air, rails or road, employee will have to compulsorily show the travel tickets to claim LTA. It is important to keep air (boarding pass), rail or public transport ticket.
- LTA is not related to with date of joining of any employee. The government has fixed the block of years. These blocks are not financial years(April 01 to March 31); they are calendar years (January 01 to December 31).
- The current block is 2022-25. The employee who has not taken LTA exemption in the last block 2018-21 can avail one extra exemption in 2022-25 block, i.e., they can claim LTA 3 times in this block
- Maximum Entitlement Train 1st class AC fare.

Following condition should be satisfied:



Only Travel cost Covered.
Maximum Entitlement Train 1st class AC fare



Only Domestic travel covered



Only covers travel with family i.e spouse, children as well as dependent parents, brothers and sisters



Employee should be on approved paid leave (Privileged Leave) for not less than 3 working days



Maximum Limit: Up to 2 months Basic Salary

Children Education Allowance

Definition:

The Children Education Allowance (CEA) is paid to the employees in India for the schooling and hostel facilities offered to their children

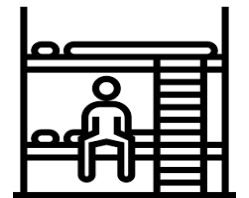
Day Scholar:

- For school going children, tax benefit of INR 1200 per child per annum can be availed.
- The maximum limit is for tax rebate upto 2 children (INR 2400 per annum).



Hosteller:

- In case of children is staying in hostel, you can avail a tax benefit of INR 3,600 per child per annum.
- The maximum limit is for tax rebate upto 2 children (INR 7200 per annum).



Meal Card

Definition:

A card allowing the holder to buy food up to the value specified on the card.

- All employees are eligible to avail tax benefit against amount credited in the Meal Card.
- An employee can opt for any of the following three denominations:
 - INR 1000 per month (12000 per annum)
 - INR 2000 per month (24000 per annum)
 - INR 3000 per month (36000 per annum)
- Denomination can be changed twice at the start of the financial year that is April and November

Where it can be used?



Professional Development Allowance

Definition:

Employee will be eligible to reimburse the costs related to travel, accommodation and registration costs associated with a professional development seminar, conference, workshop and books.

- Bills to be submitted for PDA.
- The minimum one bill amount is INR 5,000
- The rebate will be on actuals bill(s) and payment receipt submitted along with the reimbursement claim form subject to defined limit.
- The finance team will not consider cash payments for the PDA reimbursement claim.
- The maximum benefit can be upto two months basic salary



Key Guidelines For FBP

- It is effective from April 01, 2025
- New employees must share their FBP option form within 3 days of joining the organization on HRMS portal.
- Existing employees must fill in the FBP Planner (declaration form) on HRMS portal.
- Can be declared thrice a year (at the start of the financial year April, May & November or at the time of joining). In case any colleague declares any investment in the middle of the financial year **backdated declaration will not be considered**.
For example, if a colleague submits a declaration on the portal in November, it will be valid only for the period from November 2025 to March 2026, not from April 2025 to March 2026.
- Reimbursable FBP components will be defined as per the FBP options availed by the employees. Retrospective declaration will not be considered for the reimbursement.
- For FBP Reimbursements, no approval is required from L1 Manager.
- Finance team will send an acknowledgement email to the employees within 10 days of receiving the bills for reimbursable components.
- The pay-out for reimbursements will happen in the 1st and 3rd week of the month as per finance payment cycle.
- Amount will be paid on actuals (bill) submitted along with the reimbursement claim form subject to defined limit.
- The carry forward amount will be paid in subsequent months payment cycle and final reconciliation will happen in the month of March 2026. (subject to defined limit and supporting documents)
- In-case any employee doesn't claim or submit the proofs by March 10 of every year, this FBP will be reconciled and adjusted accordingly along with March payroll (subject to applicable tax)
- Employee can send queries related to reimbursements at finance.ap@peoplestrong.com



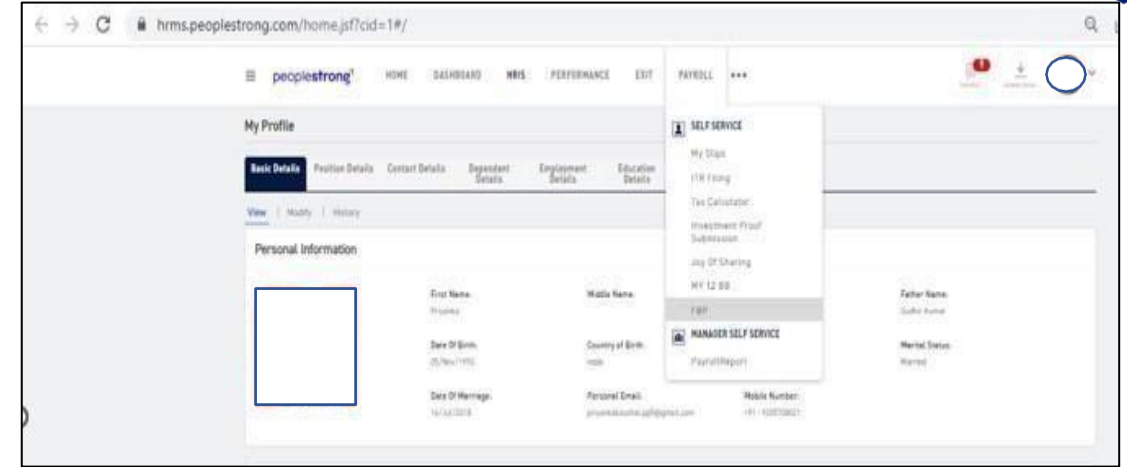
Process of FBP Declaration on PeopleStrong HRMS

- **Step 1:** Login to HRMS Portal
(<https://hrms.peoplestrong.com>)



- **Step 2:** Click on Payroll Tab

- **Step 3:** Select FBP



- **Step 4:** Declare your FBP components



- **Step 5:** Save and then Submit

FBP Window is open till 25 Apr 2023

FBP

Priyanka Kaushal 26247

Date Of Joining: 07 Feb 2022, Date Of Birth: 05 Nov 1993, Gender: Female, PAN: DQSPK9713K, Group Date Of Joining, Employment Status: Active, Pran

Outline: Outline

FLEXIBLE COMPONENT TOTAL SALARY BREAK-UP FBP HISTORY

Maximum FBP Entitlement (depending upon the role/Grade/compensation): 763,200.00, 4/1/2022 FBP Effective Date, FBP Paystructure, Yearly Payroll

#	Payhead	Maximum Amount	Annual Prorate Amount	Annual Plan Amount	Monthly Plan Amount
1.	Meal Coupon	36000	0.00	0	0.00
3.	Education Allowance	7200	0.00	0	0.00

☐ I hereby declare that all the declarations submitted by me are correct and accurate and I am solely responsible for any income tax liability arising out of a wrong declaration. Further, any incorrect bills/tampered documents submitted shall be considered as violation of the code of conduct and will attract disciplinary actions against me.

SAVE **SUBMIT**

Recap

- **Overall Compensation Structure:** Basic Salary + FBP + Insurance + Gratuity + Bonus + PF + Performance Linked Incentive
- **FBP:** Flexible Benefit Plan is an exclusive bundle of offering that is tax saving options for the benefits of our team members
- **FBP Components:** Leave Travel Allowance, Children Education Allowance, Meal Card and Professional Development Allowance.

- **Process of FBP Declaration:** Login to HRMS Portal > Payroll
 - FBP > Declare the FBP Components by adding the value> First click on Save and then Submit to capture your Flexi Benefit Plan for FY 2025-26
- **Children Education Allowance, Professional Development Allowance, Meal Card, House Rent Allowance & Leave Travel Allowance:** Eligibility, Calculation & Eligibility



Thank you!



peoplestrong

CORPORATE OFFICE

A 10 Infocity, Sector 34, Gurgaon, Haryana - 122001

E: "contact@peoplestrong.com"

M: +91 9560998686 | T: +911244782400 | F: +911244273762